

Verdant Health Advisory LLC

www.verdanthealthadvisory.com

May 31, 2021

Laura Phillips
Chief Financial Officer
Johnson, Cross and Gibbs

Dear Ms. Phillips,

This letter sets down, so that we are both working from the same page before any work begins, the terms on which Johnson, Cross and Gibbs has asked Verdant Health Advisory to review the compensation paid to your physicians, and it asks for your signature to confirm them. We have written it plainly and at some length, because an engagement of this kind touches questions your counsel will care about, and we would rather set the terms down with care than leave either of us to infer them. If anything below does not match the understanding we reached in our conversations, I would be grateful if you would tell me before you sign rather than after.

You told us, when we first spoke, that you wanted an analysis a general counsel could rely on and a set of findings that would not surprise anyone on your side later, and that is the engagement we have scoped. The paragraphs that follow set out what we will do, who will do it, what it costs, and the terms on which we do it, in that order.

Scope and Approach

The engagement is a review of the arrangements under which your physicians are paid, undertaken to test whether those arrangements sit within the range a fair-market-value analysis would support and whether they are commercially reasonable on their own terms, apart from the volume or value of any referrals. We approach that question the way your own general counsel would want it approached, which is to say from the evidence outward rather than from a conclusion backward. Nothing in our work is meant to substitute for the legal judgment your counsel will bring; we supply the analysis on which that judgment can rest.

In practice this means we begin by collecting the compensation terms as they actually operate, not merely as the written plans describe them, and we then place each arrangement against published national survey benchmarks appropriate to the

specialty, the productivity, and the market in which your physicians work. Where an arrangement falls comfortably within the supportable range we will say so and show why; where it does not, we will say that too, with the same care, and we will show our working either way. A review that only confirms what its client hoped to hear is worth very little to the counsel who has to defend it, and we will not produce one.

The Team

The work will be done by a small team, which is how we prefer to run a review of this sensitivity. Daniel Alvarado, a senior consultant who spends his working life in the economics of clinical service lines, will lead the compensation analysis and reconcile the productivity and cost figures the benchmarks turn on. Patricia Moore, an analyst on our staff, will assemble the underlying compensation data and trace each figure back to its source, so that every number in the final analysis can be shown rather than merely asserted, and I will read the analysis before it leaves this firm and remain your point of contact for anything bearing on the judgment behind it.

Fees and Payment

Our fee for the review is \$114,500, quoted as a fixed amount for the scope described above rather than as an hourly rate, because a fixed fee keeps our attention on the quality of the analysis and lets you call with a question without watching a clock. We bill the fee in equal installments across the term of the engagement, the first on commencement and the remainder monthly thereafter, and our invoices are due within thirty days of receipt. Reasonable out-of-pocket costs, should any arise and only where you have approved them in advance, are billed at cost and itemized separately.

Term and Termination

The engagement commences on June 10, 2021 and is planned to run for approximately three months, which is the basis on which we have scoped the fee and staffed the team. Either of us may end it on thirty days' written notice; if you end it, you owe the installments that have come due and the approved costs incurred to that date, and nothing beyond them. We would end it ourselves only if the work as agreed had become work we could not perform with the independence the analysis requires, and in that event we would return any fee paid for work not yet done.

Confidentiality

A review of physician compensation is by its nature sensitive, and we treat it accordingly. We will hold your compensation data, your internal plans, and the existence and content of this engagement in confidence, using what you share with us only for the work you have retained us to do and disclosing it no further than the members of both teams who need it to get the work done. We ask the same discretion of you as to our methods and our working papers, and where a disclosure of our findings to a third party is contemplated we ask that you route it through us first, so that nothing partial or preliminary travels under our name.

Limitation of Liability

We will carry out this engagement with the care and skill customary in our profession, and we will tell you plainly what our analysis supports and, as plainly, what it does not. We do not, however, render legal opinions, and our conclusions on fair market value are analytical judgments founded on the benchmarks and data available to us rather than guarantees of how a regulator or a court would ultimately view a given arrangement. Our total liability to you under this engagement, on any theory, is limited to the fees actually paid to us for it, and neither of us is liable to the other for indirect or consequential loss; nothing in this paragraph limits liability for fraud or willful misconduct, and nothing about it is meant to.

Governing Law

This letter is the whole of the agreement between us on this engagement and takes the place of anything discussed or drafted before it. It is governed by the law of the state in which this firm maintains its principal office, and any dispute we cannot resolve between ourselves will be heard in the courts sitting there, to whose jurisdiction we each consent. Any change to these terms is effective only if it is set down in writing and signed by both of us.

Acceptance

If this letter reflects the engagement as you understand it, please countersign below and return one copy to me, and we will confirm the first working sessions with your team at Johnson, Cross and Gibbs shortly thereafter. We are glad to be asked to do this work, and we take the trust it implies seriously. Daniel Alvarado and Patricia Moore will be in touch within the week to arrange the first session and the initial data request.

With regards,

Laura Brown

Managing Partner

Date: May 31, 2021

Laura Phillips

Chief Financial Officer, Johnson, Cross and Gibbs

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